

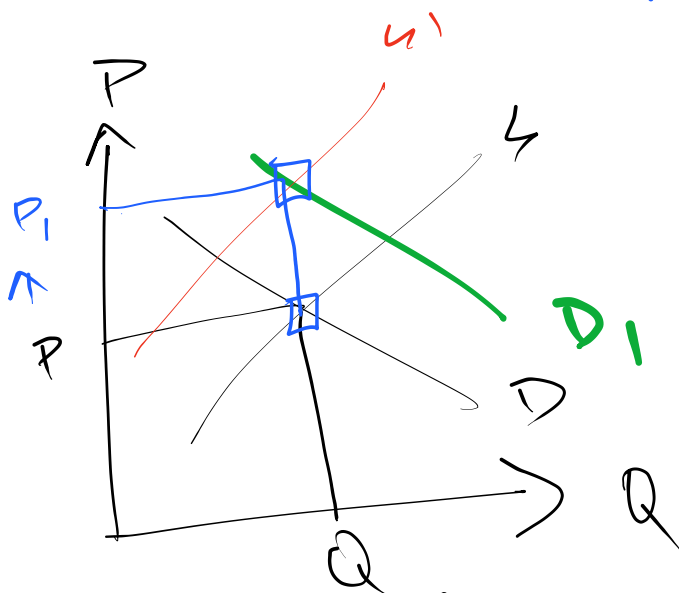
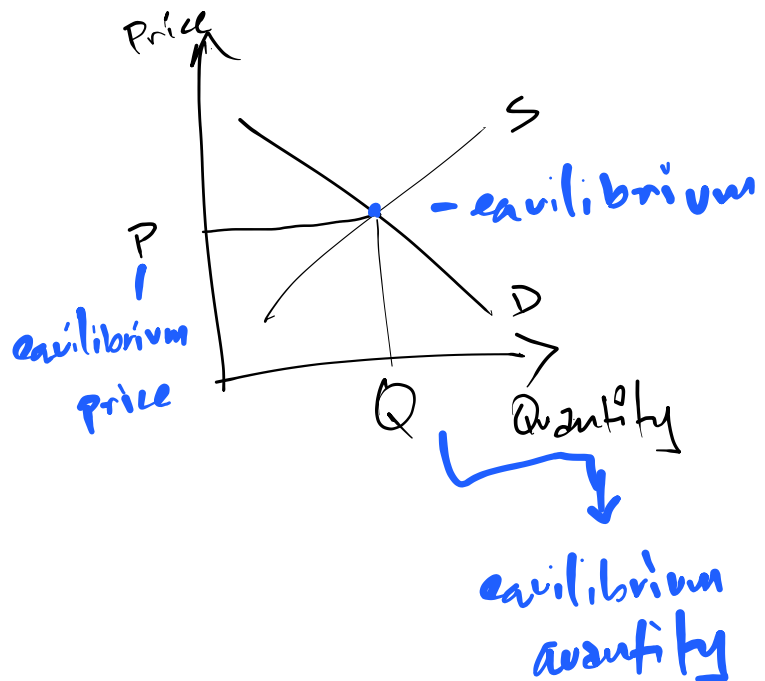
This is the mkt. for rickshaws.

- Initially, the mkt. is in equilibrium $\rightarrow D = S$
- Because of today's weather, everyone is looking for a rickshaw. $- D \text{ increase}$
 $D \uparrow$
 $D \rightarrow$
- Most rickshaw pullers are on leave today. $- S \text{ decrease}$
 $S \downarrow$
 $S \leftarrow$

Q. What is the overall impact on D & S ?

$D \uparrow$ $S \uparrow$
 $\rightarrow$ right shift

$D \downarrow$ $S \downarrow$
 $\rightarrow$ left shift



Due to everyone's interest in rickshaws today, the demand for rickshaws has increased and the demand curve shifts to the right.

Additionally, due to most rickshaw pullers being on leave today, the supply of rickshaws has decreased and the supply curve shifts to the left

So, equilibrium price has increased while equilibrium quantity remains the same.

This is the mkt. for rickshaws.

- Initially, the mkt. is in equilibrium. $D = S$
- Because of today's weather, everyone is looking for a rickshaw.
- Most rickshaw pullers are on leave.
- The demand effect is greater than the supply effect.

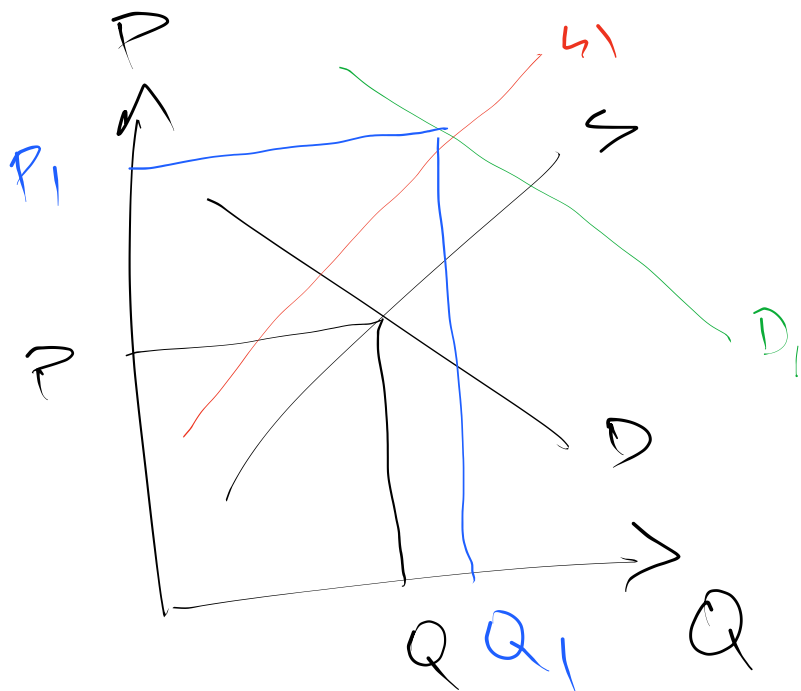
→ D increase
↳ D ↑
↳ D →

→ S decrease
↳ S ↓
↳ S ←

↳ D ↑↑ > S ↓

Q: What happens to P & Q?

→ → ⇐



Due to everyone's interest in rickshaws today, the demand for rickshaws has increased and the demand curve shifts to the right.

Additionally, due to most rickshaw pullers being on leave today, the supply of rickshaws has decreased and the supply curve shifts to the left.

As the effect of the increased interest from people is greater than the effect of the rickshaw pullers going on leave, the demand curve shifts greater to the right. As a result, both equilibrium price and quantity increases.